BOARD OF DIRECTORS · H1 FY2026

Acme Corp — CEO Half-Year Business Review

Enterprise performance, strategy, and outlook for the Board

Document type Board review
Period H1 FY2026 (Jan–Jun 2026)
Owner Gregory Whitfield, CEO
Prepared July 2026

FY25 net revenue	**$812M (+5.1% YoY)**
EBITDA margin	**14.2% · target 16% by FY28**
H1 FY26 vs plan	**$304.2M vs $318.7M · -4.5% (improving)**
Strategic thesis	**Win protein · fix Crunchwell relevance · ride oat milk**
The bet landing now	**ProteinPeak launch on plan; Pack Refresh ships Aug 15**

Executive summary

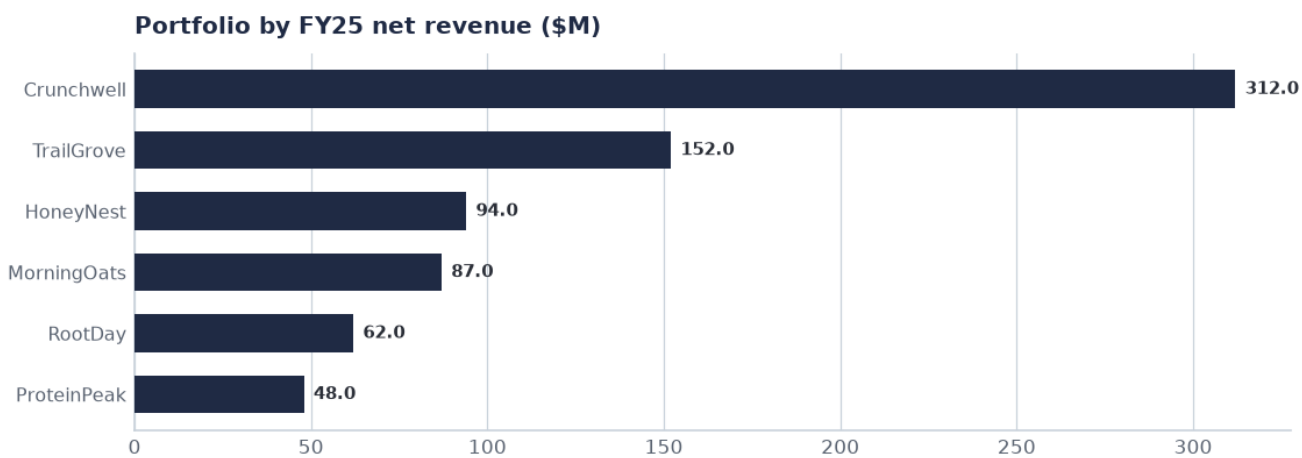
Acme enters the second half of FY2026 behind plan but with momentum and a clear strategic hand. The H1 shortfall (-4.5% to plan) is concentrated in two managed situations — Crunchwell's Louisiana erosion and a deliberate pre-launch trough in ProteinPeak — not in a broad demand failure. The ProteinPeak relaunch is landing on plan, the category's fastest-growing pockets (protein, oat milk) are where we are investing, and the flagship's issue is diagnosed as relevance, not trust — a fixable, brand-building problem. The FY28 16%-margin commitment remains intact.

- **Performance:** H1 net revenue behind plan but the monthly gap halved (–5.2% Jan → –3.4% May). Four of six brands are within 2 points of plan.
- **Franchise health:** national RTE share stable (Acme 7.9%, Crunchwell 6.0%); the risks are regional (Louisiana) and segment-shaped (under-indexed in protein), both addressed in-plan.
- **Strategy on track:** ProteinPeak $48M→$80M FY26 build delivering; Crunchwell Pack Refresh ($28M) ships Aug 15; RootDay rides oat milk (+18.8%).
- **Ask of the Board:** endorse the FY27–FY29 long-range plan (Report 15) and the FY27 AOP (Report 14), including the margin path to 16%.

1 · Where the business stands

FY25 NET REVENUE	EBITDA MARGIN	H1 VS PLAN	RTE SHARE (NATL)	#4
$812M	**14.2%**	**-4.5%**	**7.9%**	**US RTE cereal**
+5.1% YoY	→ 16% by FY28	gap halving	stable	behind GM, Kellanova, Larksfield

Acme is a $812M, six-brand cereal-and-adjacencies company, #4 in US RTE cereal. The portfolio spans a large, slow-growing core (Crunchwell family sweet), two fast adjacencies we are leaning into (ProteinPeak in wellness protein, RootDay in oat milk), and a stable middle (TrailGrove, MorningOats, HoneyNest). The half's financial gap is real but improving and well-understood.



Crunchwell is 38% of revenue; the growth is being funded from the fast adjacencies.

Financial summary

Metric	FY25 actual	H1 FY26	FY27 target
Net revenue	$812M	$304.2M (–4.5% to plan)	~$880M (planning)
YoY growth	+5.1%	improving through H1	~+7% (planning)
EBITDA margin	14.2%	on track	~15.0% → 16% FY28
RTE share (national)	7.9%	7.9% (stable)	hold / build in protein
Wellness Protein share	7.6%	8.4% (Q2)	grow (ProteinPeak)

Source: FY25 headline; H1 FY26 from plan_vs_actual; FY27 figures are planning targets (see Reports 14, 15).

2 · The strategic thesis

Our three-part thesis is unchanged and is where the FY27–FY29 plan concentrates capital:

- **Win Wellness Protein.** The category's fastest pocket (+18.3%, now $840M). ProteinPeak is our vehicle; the Q2 launch proves the demand. Target already gives us 18.4% segment share.
- **Fix Crunchwell relevance.** Brand equity shows relevance down 5.9 points over six quarters while trust holds — a brand-building problem, not a quality problem. The Pack Refresh, Hispanic format, and a modern brand program answer it.
- **Ride oat milk with RootDay.** The oat-milk adjacency grows +18.8%; RootDay is on plan and under-scaled relative to the opportunity.

3 · The two H1 problems, and what we are doing

Crunchwell Louisiana (–340 bps of local share) is attributed across five hypotheses — a Walmart reset, Larksfield promo intensity, a hurricane supply shock, private label, and a shopper-mix shift — and is now stabilizing under a funded recovery. **ProteinPeak's –25% Q1** was a planned pre-launch draw-down; post-launch it runs –6% and improving. Neither is a surprise, and both are inside the plan.

4 · Capital allocation

Capital and working investment follow the thesis, not history. Three principles govern FY27 planning:

- **Fund the fast pockets.** Protein and oat-milk innovation and working media are protected; A&P; tilts from Crunchwell linear TV toward protein, creator, and proven retail media.
- **Earn the trade dollar.** The ~$150M trade envelope is held but rebalanced toward incrementality (portfolio index ~0.52 today); low-return Crunchwell events are the funding source.
- **Protect the core selectively.** The Crunchwell Pack Refresh ($28M innovation) and Louisiana recovery are funded; the HoneyNest tail is pruned to release margin.

5 · Outlook, and the Board ask

> **Risks we are watching**
> GLP-1 / appetite-suppressant adoption (a slow structural drag on breakfast volume), private-label strength at Walmart and Kroger, and Larksfield/Field & Honey escalating into protein. None change the thesis; all are reflected in the FY27–FY29 targets.

We expect to land FY26 close to plan on the strength of the ProteinPeak ramp and the Aug 15 Crunchwell Pack Refresh (H2 reforecast in Report 40). The FY27–FY29 plan commits to ~7–8% net-revenue growth and the 16% EBITDA margin by FY28, funded by revenue growth management and mix.

Recommendations & next steps

#	Action	Owner	When
1	Endorse the FY27–FY29 long-range plan and its growth/margin commitments.	Board	This session
2	Approve the FY27 Annual Operating Plan and trade/A&P; envelopes.	Board / CFO	This session
3	Note the ProteinPeak and Crunchwell strategic plans as the two priority bets.	Board	This session